



温州肯恩大学  
WENZHOU-KEAN UNIVERSITY

GMBA 5885 W02  
Strategic Mgt Global Info Sys

# Ethical and Social Issues in MIS

*Day 3 · Afternoon Session*

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*25 April 2026*

# Where We Are



# You Are the VP of Technology at Didi

**June 30, 2021.** Your company just completed a **\$4.4 billion IPO** on the New York Stock Exchange. The team is celebrating.

**July 2, 2021.** China's Cyberspace Administration (CAC) announces a cybersecurity review. You know that the company collects **12 million user screenshots, 107 million facial recognition records, and 167 million location data points** — much of it beyond what users consented to.

**July 4, 2021.** Didi is removed from all app stores in China. Revenue will drop \$4.7 billion next quarter. The CEO faces personal fines. The company will eventually be fined \$1.2 billion — the largest data protection penalty in history.



*Before the IPO, you raised concerns internally. Management proceeded anyway. What should you have done? What should you do now?*

# Learning Objectives

1

## **Understand Ethical Dilemmas**

Understand why MIS generate ethical dilemmas that technology alone cannot resolve

2

## **Identify Moral Dimensions**

Recognize key moral dimensions in MIS decisions: info right, property right, accountability, system quality, quality of life

3

## **Apply Ethical Frameworks**

Use ethical principles and frameworks to analyze MIS dilemmas systematically

4

## **Connect to AI and Group Project**

Assess AI-related challenges in fairness, transparency, and accountability, and apply them to your group project

# Why MIS Creates Ethical Tension



## Visibility

MIS captures granular data about people, processes, locations, and behavior.

*e.g., Didi's 167M location records*



## Decision Power

Algorithms classify, rank, recommend, approve, deny, and prioritize.

*e.g., ride pricing, driver allocation*



## Scale & Autonomy

Digital systems operate faster and at larger scale than human oversight.

*e.g., real-time data on 500M+ users*



## Distribution of Risk

Benefits and harms are not shared equally across stakeholders.

*e.g., investors vs. drivers vs. riders*

# Why Ethics Is Now a Strategic Issue



## Data Explosion

Unprecedented volumes of personal data are collected and monetized

*The line between insight and intrusion is razor-thin.*



## AI Decision-Making

Automated systems now shape hiring, lending, pricing, service access

*Bias and opacity are structural, not incidental.*



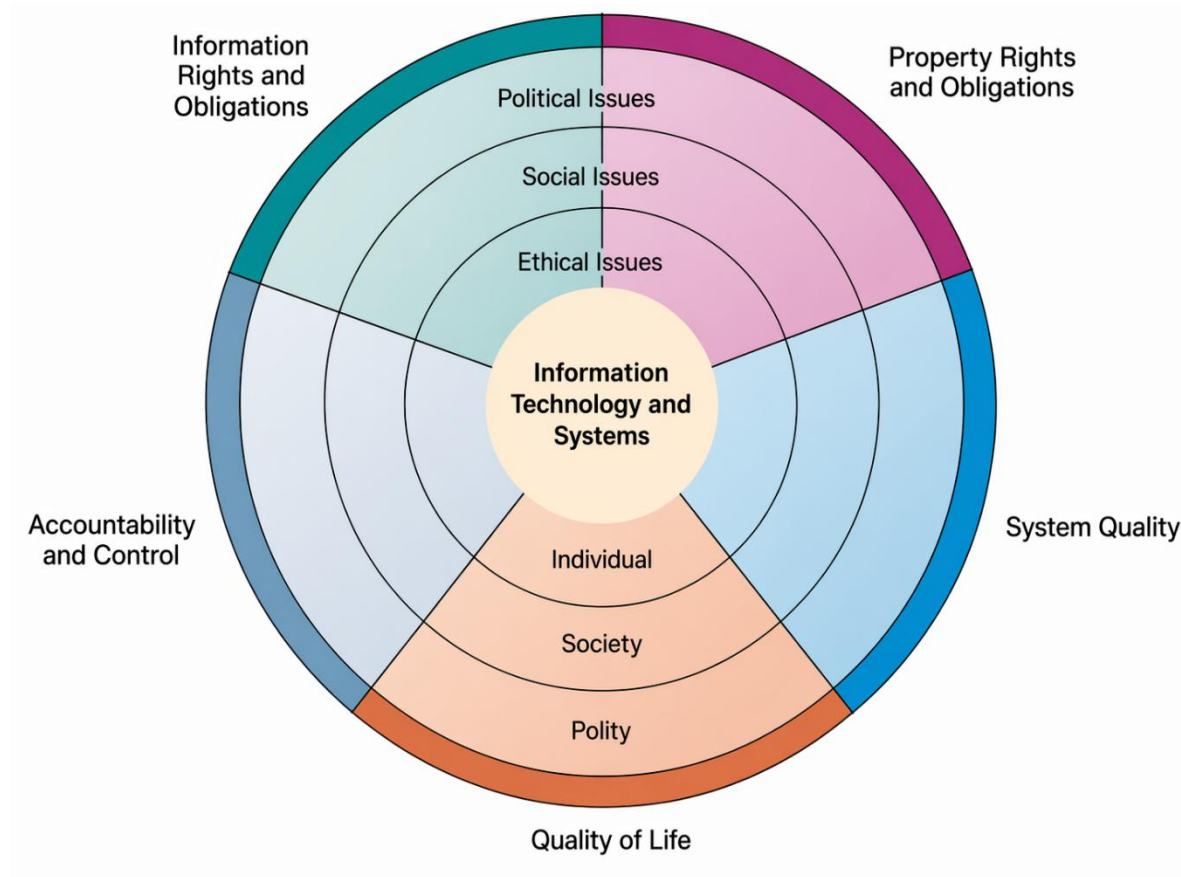
## Global Operations

Data flows across jurisdictions with different legal and social expectations

*Compliance in one jurisdiction can be a violation in another.*

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- **Every IS decision carries ethical weight.**
  - **Ethics is not a legal function — it is a core managerial competence.**

# Ethical, Social, and Political Issues in MIS



MIS creates ripple effects across individuals, organizations, and society.

These effects raise ethical, social, and political questions across five moral dimensions.

Source: Laudon 18th Ch.4

# Ethical, Social, and Political Issues in MIS

1

## **Information Rights**

What rights do individuals have over their data? What obligations do organizations have?

2

## **Property Rights**

Who owns digital IP? How do copyright and patents apply when replication is effortless?

3

## **Accountability**

Who is responsible when IS causes harm? Can firms be held liable for system failures?

4

## **System Quality**

What standards of data quality and reliability should we demand? When does poor quality become unethical?

5

## **Quality of Life**

How does IS affect equity, employment, health, and work-life boundaries?



# Deep Dive 1: Privacy & Consent

is-ought problem  
实然 vs. 应然

## Core Question

Who has rights over data about an individual — the person, the platform, or the organization collecting it?

## Managerial Tension

Firms want more data to personalize and monetize; individuals want dignity, control, and protection from misuse.

## Practical Standard

The right question is not “**Can** we collect it?” but “**Should** we collect it, keep it, infer it, or share it?”

## General Data Protection Regulation (GDPR)

Right to information or notice

Right to access

Right to be forgotten

Right to data portability

Right to rectification or correction

Right to erasure or deletion

Right to objection and restriction (or opt out)

Right to not be subject to automated decisions

# Deep Dive 1: Privacy Paradox

*People say they care about privacy, yet frequently click “accept,” share data, and prioritize convenience in the moment.*

## Why it happens:

- Consent flows are long, confusing, or strategically designed
- Users trade privacy for convenience without understanding the trade-off
- Different datasets can be combined to infer sensitive traits
- Technology evolves faster than regulation and enforcement

## Discussion

*Are you privacy sensitive? How do you protect your privacy?*

## Managerial Implication

Weak resistance is not consent. Responsible design requires data minimization, meaningful consent, and transparency.

# Deep Dive 2: Property & Ownership

## Copyright

Protects expression  
(text, music, code)  
— not the idea itself

## Patent

Protects useful, novel,  
non-obvious inventions  
for a limited term

## Trademark

Protects names,  
logos, and brand  
identifiers

## Trade Secret

Protects valuable confidential  
know-how as long as secrecy  
is maintained

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## The AI Property Challenge

- Can AI-generated text, images, or code be copyrighted?
- Should training data use require consent from original creators?
- Who owns a model fine-tuned on proprietary company data?

# Three Lenses for Ethical Analysis

## Stockholder Theory

Maximize shareholder wealth through legal and non-fraudulent means

### Didi answer

*Delay the IPO only if the legal risk clearly outweighs financial gain. Report breach in the fastest legally required manner. Minimize financial exposure.*

Ignores harms to non-shareholders

## Stakeholder Theory

Balance the interests of all groups the firm vitally affects

### Didi answer

*Notify regulators and users proactively. Protect driver and rider data. Accept short-term cost for long-term trust with customers, employees, regulators.*

Hard to rank competing interests

## Social Contract Theory

Create value for society in a just and non-discriminatory manner

### Didi answer

*Ask: Is our data practice consistent with the kind of digital society we want? Beyond compliance, what would a responsible corporate citizen do?*

No enforcement mechanism

# Five-Step Ethical Analysis



|   |                               |                                                                 |                                          |
|---|-------------------------------|-----------------------------------------------------------------|------------------------------------------|
| 1 | <b>Get the facts</b>          | What happened? What data, system, or decision is involved?      | <i>All lenses start here</i>             |
| 2 | <b>Define the dilemma</b>     | Which values, rights, or obligations are in conflict?           | <i>Where the lenses diverge</i>          |
| 3 | <b>Identify stakeholders</b>  | Who benefits, who bears risk, and who has voice?                | <i>Stockholder vs. stakeholder split</i> |
| 4 | <b>List realistic options</b> | What actions are genuinely available — not only idealized ones? | <i>Social contract broadens scope</i>    |
| 5 | <b>Evaluate consequences</b>  | What are the short- and long-term effects of each option?       | <i>Test with guiding principles</i>      |

# Guiding Principles



## Golden Rule

Do unto others as you would have them do unto you.



## Slippery Slope Rule

Small ethical compromises lead to larger ones.



## Utilitarian Principle

Choose the greatest good for the greatest number.



## Kant's Categorical Imperative

Act only on maxims you can will as universal law.



## Risk Aversion

Take the less risky option when consequences are uncertain.

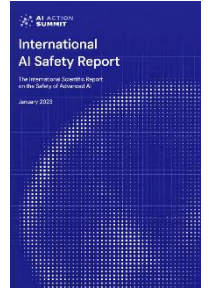


## No Free Lunch

Assume all created content has an owner.

# AI Ethics

[International AI Safety Report 2025](#)



## Bias & Fairness

Does AI trained on historical data perpetuate past biases in hiring, lending, and policing?



## Accountability

When AI causes harm, who is responsible? The developer, deployer, or user? Liability frameworks are unclear.



## Job Displacement

Automation improves efficiency but creates social costs. What is the organization's responsibility to affected workers?



## Transparency

When AI makes consequential decisions, can we explain how? The "black box" problem creates accountability gaps.



## Privacy

AI's hunger for data intensifies surveillance risks. Facial recognition, emotion detection, and predictive analytics erode personal boundaries.



## Autonomy

How much decision-making should we delegate to machines? Where must humans remain in the loop?

# Group Project Connection

## *Building Ethics into Your AI-Enabled Solution*



### **Data**

What data will you use? Is it collected with proper consent? Are there bias risks?



### **Transparency**

Can users understand how your AI makes decisions? Is there a meaningful explanation?



### **Stakeholder Impact**

Who benefits? Who might be harmed? Have you considered secondary effects?



### **Privacy**

Does your solution protect personal information? Have you considered data minimization?



### **Accountability**

Who is responsible if your system errs? What safeguards and human oversight exist?



### **Governance**

What policies, oversight, and review mechanisms should accompany your solution?





# Debate

Apply the frameworks. Defend a position. Challenge each other.

## Debate 1

Group A vs Group B

*AI companies should be permitted to train models on publicly available content without obtaining prior consent from creators.*

## Debate 2

Group C vs Group D

*Companies that deploy AI-driven decision systems should be required to disclose how the system works to affected individuals.*

Group E serves as judge panel for both debates

# Debate Format

## Preparation

20 min

Clarify stance, collect evidence, choose speakers, anticipate counterarguments, prepare a short opening + rebuttal points

## Opening

3 min/side

State your position clearly. Use at least one concept from today's lecture (normative theory, ethical analysis step).

## Rebuttal

2 min/side

Respond to the opposing team's arguments directly. Challenge their evidence or reasoning.

## Closing

1 min/side

Summarize your strongest point. End with a clear, memorable statement.

## Judge Verdict

3 min

Judges deliberate and announce: one strength from each side, one weakness, final winner with justification.

# Judging Criteria

*Judges should reward reasoning quality, not just confidence or speaking volume.*

- 1 Clarity of position** Is the team's stance clear and consistent throughout?
- 2 Strength of evidence** Are claims supported by examples, data, or cases?
- 3 Use of MIS ethics concepts** Does the team apply frameworks from today's lecture?
- 4 Quality of rebuttal** Does the team engage with opposing arguments, not just repeat their own?
- 5 Overall persuasiveness** Would a neutral observer be convinced?

For each debate: one strength per side · one weakness per side · final winner with short justification

# Managerial Takeaway

## If you remember only one thing...

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Every IS decision has ethical dimensions.

The question is not whether ethics applies, but whether you surface it before or after the damage.

## Why this matters for managers

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Ethical failures in IS are increasingly punished by regulators, users, and markets.

Proactive governance is cheaper than reactive crisis management.

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**Proposal due: May 9, 23:59**

**Next session: May 10, CBPM C423**

# Q&A

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*Office hours: Tue & Thu 11:15–12:30 | Wed 14:00–16:30*